

12 Aug 2026 10:00:06 ET | 11 pages

Merida (9914.TW)

2Q26 Miss Driven by SBC Loss Offsetting Strong Core Business Beat

CITI'S TAKE

Merida reported sales of NT\$6.9bn, down 1% y/y but 5%/3% above our/BBG estimates. GPM expanded 1ppt y/y to 19.8%, beating our/BBG forecast by 4.0ppt/3.4ppt, driven by better sales in its China own-brand business. China own-brand sales grew 21% y/y, significantly outperforming the OEM business. Consequently, operating profits rose 8% y/y to NT\$765mn, beating our/BBG forecast by 64%/45% with OPM expanding 1ppt y/y to 11.0%. However, a larger non-op loss, mainly reflecting investment losses of NT\$242mn from SBC due to higher taxes, dragged net profit down 19% y/y to NT\$318mn, 17%/36% below Citi/BBG estimates. SBC's 2Q26 sales declined y/y although its margin improved. The company will host its results call this Friday. We will share more color post the call.

Implications — While Merida's core operating performance was stronger than expected, the weak SBC contribution more than offset the operating beat and resulted in a sizeable bottom-line miss. We think the market may focus more on SBC's earnings weakness particularly as expectations for bicycle names have risen following Giant's strong 2Q results. Therefore, despite encouraging 2Q core business beat, we view the overall results as mixed.

Neutral

Price (12 Aug 26 13:30)	NT\$93.30
Target price	NT\$72.00
Expected share price return	-22.8%
Expected dividend yield	2.4%
Expected total return	-20.5%
Market Cap	NT\$27,895M US\$865M

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Earnings Summary

Year to	Net Profit	Diluted EPS	EPS growth	P/E	P/B	ROE	Yield
31 Dec	(NT\$M)	(NT\$)	(%)	(x)	(x)	(%)	(%)
2024A	-699	-2.34	-141.3	na	1.4	-3.5	4.3
2025A	1,200	4.01	271.7	23.2	1.4	6.2	2.7
2026E	1,544	5.16	28.6	18.1	1.4	7.8	3.4
2027E	1,951	6.53	26.4	14.3	1.3	9.5	4.3
2028E	2,211	7.39	13.3	12.6	1.3	10.3	4.9

Source: Powered by dataCentral

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

Figure 1. Merida: 2Q26 Results Comp

Merida (9914.TW): Result Comparison

NT\$ mn	2026A	1Q26	Q/Q	2025	Y/Y	2026 Citi	Diff	2026 B8G	Diff
Revenue	6,939	5,323	30%	7,005	-1%	6,606	5%	6,761	3%
Gross profit	1,374	818	68%	1,320	4%	1,047	31%	1,112	24%
Operating profit	765	278	176%	706	8%	467	64%	529	45%
Non op profit	-303	137	nm	-146	nm	45	nm	142	nm
Pre-tax profit	462	414	12%	560	-17%	513	-10%	671	-31%
Net profit	318	326	-2%	394	-19%	383	-17%	498	-36%
Basic EPS (NT\$)	1.06	1.09	-2%	1.32	-19%	1.28	-17%	1.69	-37%
Ratio									
Gross margin (%)	19.8	15.4	4.4	18.8	1.0	15.8	4.0	16.4	3.4
Operating margin (%)	11.0	5.2	nm	10.1	1.0	7.1	4.0	7.8	3.2
Net margin (%)	4.6	6.1	nm	5.6	-1.0	5.8	-1.2	7.4	-2.6

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Source: Bloomberg, Company Reports, Citi Research

Merida

Valuation

Our target price for Merida shares of NT\$72 is based on a 2026E P/E of 14x, a 35% discount to its historical average of 22x during pre-Covid years (2014-2019), in view of soft order momentum as a result of slow recovery in bike demand, a volatile margin trend, and low visibility of SBC.

Risks

Downside risks that could mean the Merida shares trade below our target price include: 1) e-bike adoption slower than expected; 2) weaker restocking demand; 3) lukewarm sell-through at SBC; and 4) a weaker macro.

Upside risks that could mean the Merida shares trade above our target price include: 1) e-bike adoption faster than expected; 2) stronger restocking demand; 3) stronger sell-through at SBC; and 4) a strong macro.

Giant

(9921.TW; NT\$109.0; 1; 12 Aug 26; 13:30)

Valuation

Our target price for Giant of NT\$108 is based on a 2H26-1H27E P/E of 18.5x, setting at the mid circle of the stock's historical range of 14-30x during pre-Covid years (2014-2019).

Risks

Downside/upside risks that could cause the Giant shares to deviate from our target price: 1) e-bike adoption being slower/faster than expected; 2) prolonged negative/positive impact from inventory correction, 3) China domestic demand turning weak/strengthening; and 4) supply chain disruption from shipping issues.

If the impact on the company from any of these factors differs from our base case expectations, the stock could have difficulty achieving our target price or could increase more than we expect.

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Appendix A-1

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Giant (9921.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Angela Hsu



Date	Rating	Target Price	Closing Price
1 15-Aug-23 01:33:51	2	*235.00	214.00
2 12-Nov-23 21:41:39	2	*180.00	168.50
3 23-Jan-24 05:29:20	*1	*210.00	174.50
4 06-Mar-24 15:52:43	1	*240.00	209.00
5 10-May-24 12:04:06	1	*255.00	213.00

*Indicates Change

Date	Rating	Target Price	Closing Price
6 03-Oct-24 05:20:14	*2	*210.00	214.50
7 12-Jan-25 09:57:05	2	*145.00	143.50
8 08-Aug-25 13:27:35	2	*120.00	110.50
9 07-Nov-25 11:01:20	2	*105.00	98.00
10 05-Feb-26 05:00:54	2	*95.00	90.00

Date	Rating	Target Price	Closing Price
11 13-Mar-26 10:50:40	2	*79.00	71.00
12 28-May-26 03:20:18	2	*74.00	67.80
13 07-Aug-26 15:34:49	*1	*108.00	92.40

Rating/target price changes above reflect Eastern Time

Merida (9914.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Angela Hsu



Date	Rating	Target Price	Closing Price
1 27-Nov-23 01:53:53	1	*215.00	179.00
2 06-Mar-24 15:52:43	1	*245.00	216.50
3 25-Jun-24 06:39:13	1	*250.00	223.00
4 03-Oct-24 05:20:14	*2	*215.00	221.50

*Indicates Change

Date	Rating	Target Price	Closing Price
5 13-Nov-24 09:12:29	2	*170.00	160.50
6 12-Jan-25 09:57:05	2	*160.00	153.50
7 15-May-25 06:13:15	2	*145.00	131.50
8 27-Aug-25 01:39:34	2	*123.00	112.50

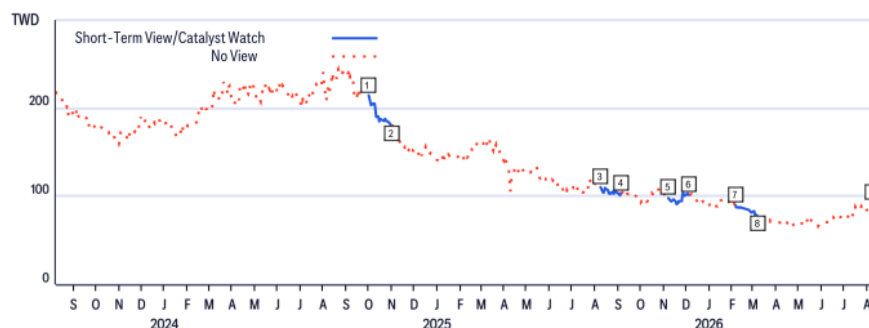
Date	Rating	Target Price	Closing Price
9 21-Nov-25 06:01:50	2	*100.00	90.40
10 05-Feb-26 05:00:54	2	*96.00	86.40
11 13-Mar-26 10:50:40	2	*77.00	69.20
12 28-May-26 02:45:44	2	*72.00	66.00

Rating/target price changes above reflect Eastern Time

Giant (9921.TW)

Short-Term View/Catalyst Watch Research

Analyst: Angela Hsu



	Date	Action	Expected Direction	Duration	Closing Price
1	03-Oct-24 01:20:14	Add CW	Downside	30 Days	214.50
2	01-Nov-24 14:29:25	Remove CW	Downside	30 Days	179.00
3	08-Aug-25 09:27:35	Add STV	Downside	30 Days	110.50

	Date	Action	Expected Direction	Duration	Closing Price
4	07-Sep-25 21:32:09	Remove STV	Downside	30 Days	103.50
5	07-Nov-25 06:01:20	Add STV	Downside	30 Days	98.00
6	07-Dec-25 19:36:56	Remove STV	Downside	30 Days	101.50

	Date	Action	Expected Direction	Duration	Closing Price
7	05-Feb-26 00:00:54	Add STV	Downside	30 Days	90.00
8	06-Mar-26 12:22:56	Remove STV	Downside	30 Days	77.90
9	07-Aug-26 11:34:49	Add STV	Upside	30 Days	92.40

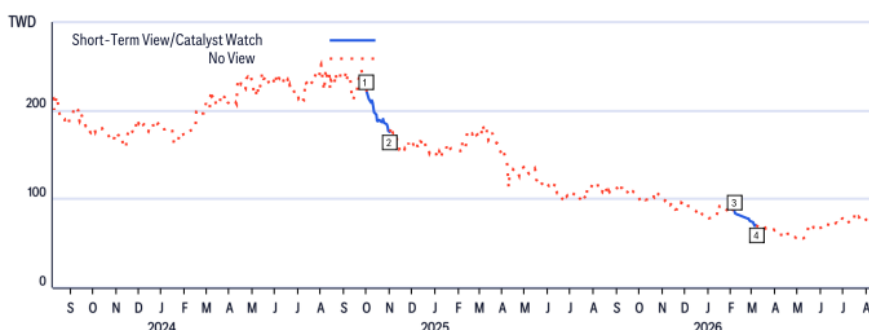
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Merida (9914.TW)

Short-Term View/Catalyst Watch Research

Analyst: Angela Hsu



	Date	Action	Expected Direction	Duration	Closing Price
1	03-Oct-24 01:20:14	Add CW	Downside	30 Days	221.50
2	01-Nov-24 14:30:02	Remove CW	Downside	30 Days	176.00

	Date	Action	Expected Direction	Duration	Closing Price
3	05-Feb-26 00:00:54	Add STV	Downside	30 Days	86.40
4	06-Mar-26 12:23:03	Remove STV	Downside	30 Days	70.30

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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